MAVEN TOYS

Colorbuds, our #1 profit toy, is in decline

A plan to protect profit by backing newer, higher-margin toys



Business review | Data through Sep 30, 2023

Our top profit toy is fading, and a newer toy is already making up part of the gap

COLORBUDS' SHARE OF QUARTERLY PROFIT

28% → 13%

Q3 2022 to Q3 2023

PLAYFOAM'S RANK AMONG ALL TOYS BY PROFIT

#2 of 35

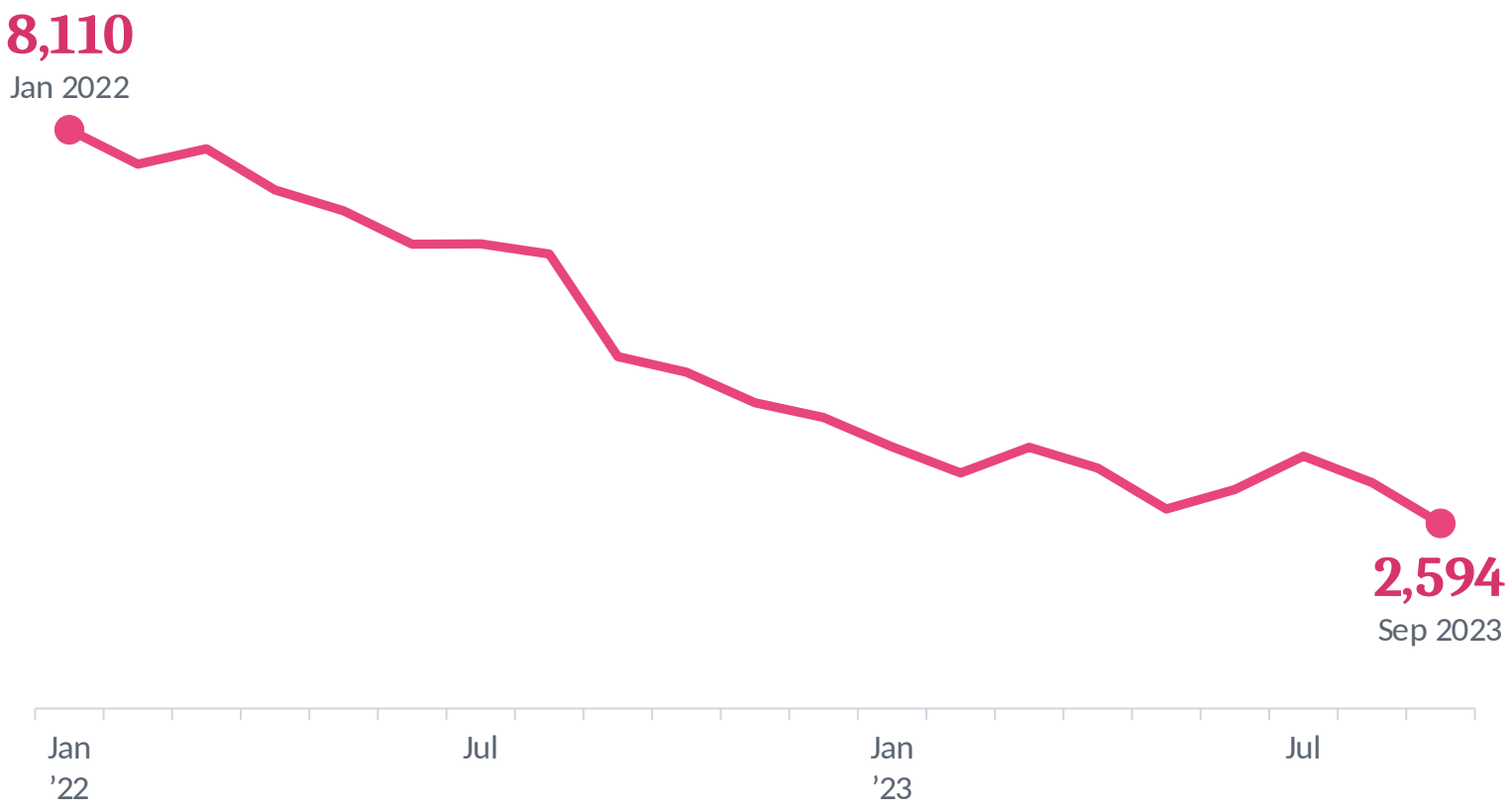
Behind only Colorbuds, in its first six full weeks on sale

- Colorbuds is still our **#1 profit toy**, but its share has **more than halved**
- Playfoam is our **strongest launch yet**: #2 in profit after six weeks, ahead of all 10 other new toys
- Playfoam earns about **$20K a month**, nearly half of the $44K Colorbuds has lost

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Colorbuds sales have fallen 68% since January 2022, across almost every store

COLORBUDS UNITS SOLD PER MONTH



WHAT WE SEE

- Down in **48 of 50 stores**, in every store type
- Every store still carries it, so this is **weaker demand, not empty shelves**
- Quarterly profit has **roughly halved**: $142K to $74K

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Fading is normal for our toys: 9 of 10 recent launches are 40%+ below their peak

9 of 10

recent launches are **40%+ below their peak month**



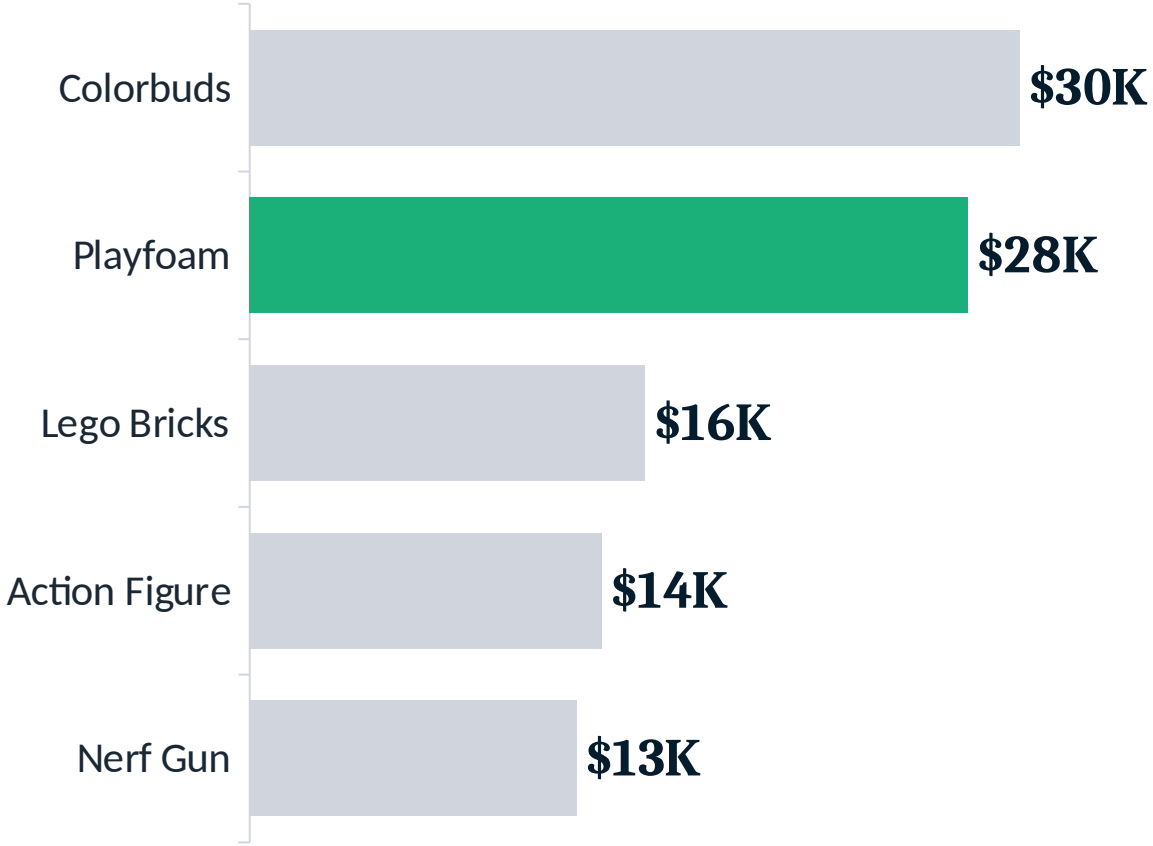
EXAMPLES

- Jenga peaked in Jul 2022 and is now down 92%
- Etch A Sketch peaked its second month and is down 56%
- Mr. Potatohead peaked in Nov 2022 and is now down 65%
- **Colorbuds is following the same trend**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Playfoam is the early bright spot, but 13 empty stores are costing us about $5K a month

ESTIMATED PROFIT BY TOY, LAST SIX FULL WEEKS (AUG 20 - SEP 30)



64% margin

$7 profit on every unit

13 stores out of stock

13 x 57 units x $7 profit = about $5K a month

- **#1 profit toy in 2 of 6 weeks**, ahead of Colorbuds
- New toys often cool off, so **the window to act is short**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Next 8 weeks: keep Playfoam on shelves, test a Colorbuds fix, then back what works

1

Restock Playfoam

Goal: stop losing Playfoam sales to empty shelves

- Refill the 13 stores that have none
- 13 stores x 57 units a month x $7 profit per unit = about $5K more profit a month
- Check stock every week

2

Test a Colorbuds fix

Goal: win back some of the lost Colorbuds sales

- Try new colors, a bundle with Gamer Headphones, or a better shelf spot
- Test it in 10 stores, against 10 similar stores that change nothing
- Winning back a quarter of the lost sales adds $11K profit a month

3

Review in 8 weeks

Goal: put effort behind what works

- Roll out the Colorbuds fix if the test stores sold 15% more, otherwise drop it
- Check whether Playfoam is holding up or cooling off
- Pick the next higher-margin toy to back

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.